Technical Articles – MGT301

Theme No.4: Marketing Information System

Customer is the most important C among 5 C's of marketing as all activities in a marketing system are circling the customer. Thus, successful organizations develop long-lasting relationships with their customers. To build strong and long-lasting relationships with customers it is very important to understand the needs of the customers. Organizations collect information through various sources about their customers' needs and this information is called Marketing Information. As, marketing environment keeps fluctuating thus; marketers need to execute their marketing strategies based on fresh information about customer insight or dynamic marketing environment.

In today's dynamic and digital marketing environment customer has become the part of generating marketing information. For example on social media sites customers provide opportunities to companies knowing their bio-data and grasp their needs. Thus, big data is available today for marketers to know the demographics of their targeted customers in the form of Marketing Information System. The information stored in marketing information system is used time by time by managers according to their needs to make decisions about various marketing concerns. All major decisions in any organization are based on the information that marketers collect from their marketing environment and this information becomes the part of the marketing database. This internal data helps marketers to take future decisions about their products. As far as external data is concerned Marketing Intelligence helps marketers in various marketing decisions i.e. improving sales, developing customer retention capabilities, monitoring competitors' moves etc.

While talking about Marketing Research, it helps an organization maximizing profit, increasing sales, knowing the reason of declining sales, and assessing the feedback of customers before launching any product. Marketers go through the process of marketing research to make decisions based on systematic and logical conclusions. Marketing research department assesses that what kind of information about customers is required by seeking guidelines from Marketing Managers and other Information Users. Marketing research department collects this information from Marketing Environment (Target Marketing, Marketing Channels, Competitors, Publics, and

Microenvironment forces) and afterwards the information is moved towards Internal Databases, Marketing intelligence, and Marketing Research process for the sake of developing analyzing and using the information. In the first step of marketing research process problem is defined and objectives of the research are designed. The marketing problems could be of various types i.e. a) newly launched product is not obtaining positive feedback from the users, b) advertisement policy is not working according to the advertising objectives, c) customers are complaining about any product, d) how competitors are influencing the product, e) what difficulties have been assessed in the pricing policy of the product. In the second step research plan is developed for the sake of collecting information. Information could be collected through interviews, surveys, and from published material. In the third step of research process research plan is implemented for the sake of collecting and analyzing the data. In the last step the interpretation and reporting of findings is conducted. For the purpose of implementing marketing research process different types of researches could be conducted according to the nature of the study. For example exploratory research that is among the three types of Marketing Research is used to investigate a problem that is not clearly defined. The research is carried out when the problem is at initial or primary stage. For example manager of a coffee shop feels that increasing the variety of flavors in the coffee may increase the customers and he carries out an exploratory research and hypothesizes that increasing coffee flavors will enable him to get more customers. While the purpose of descriptive research in marketing scenario usually is to know the profiles of customers and competitors. This type of research describes the characteristics of the population being studied; for example, an apparel brand intending to know the fashion trends of any particular region i.e. Islamabad will conduct a demographic survey of Islamabad, gather population data and then would conduct descriptive research on this particular segment. On the other hand Causal Research is conducted to test hypotheses about cause-and-effect relationship. Causal research assesses the effect of one variable on the other, for example, to know the reasons of downfall in the distribution network a firm would go through the process of causal research and would assess the effect of political policies, low incentives, or any other variable on the downfall of distribution channel. To conduct all the mentioned types of research marketers collect the first-hand or primary information through various methods like surveys, interviews, or experiments. For example if a company wants to check the response of consumers about its newly launched soft drink; the personnel of the company may go to different shopping malls and take interviews or ask questions about the taste of new soft

drink. In this way the company collects primary data from the consumers; while the sources of secondary data could be newspaper, magazines, journals, and government databases. Although the information in the mentioned sources is published for various purposes but it could be used for research purpose taking in consideration the relevancy of the data. To collect primary data from customers various research techniques could be used i.e. in observational research technique the researcher observes the ongoing behavior of any subject in the natural setting. For example if any company offers free samples of tea whitener along with the tea; the researcher may go to any shopping mall and may record the responses of the customers by observing customer's movements i.e. excitement, and eagerness to purchase the tea. On the other hand in ethnographic research researchers submerge them in the lifestyle of consumers to know depths and details about consumers. Ethnographic research may be conducted in person or installing cameras in participants' homes or offices. Another type among research techniques the survey research is conducted through questionnaires, interviews. Surveys offer a quick way of collecting required information. Survey research is conducted in public areas or visiting targeted offices, schools, universities etc. You might have ever met any person coming to you to with a bunch of few papers to give your opinion about some problem discussed in that particular paper or questionnaire. Thus, different survey or contact methods could be used to collect the data from customers i.e. mail, telephone, personal contact and online contact. The forth type of research technique; the experimental research is about gathering primary data by selecting matched groups of subjects, giving them treatments, controlling related factors, and checking for differences in group responses. For example to test the effect of improving packing of deodorant on deodorant's sales growth the researcher might keep all other factors i.e. odor, quantity and price of the deodorant constant/controlled. Thus, marketers find logical conclusion about any marketing phenomenon following the marketing research process and may store the collected information in Marketing Information database for future use as well.

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Theme: #5 Consumer Buyer Behavior

The most important component of the marketplace is consumer. Consumer buying behavior refers to the buying behavior of final consumers—individuals and households that buy goods and services for personal consumption. All these individuals and households that buy goods and services for their personal use make up the Consumer market.

Every day, consumers are making many buying decisions for which marketers are researching on why, how, when and what are they purchasing. Marketers can learn how, when, what and how much the consumers are buying by studying actual consumer purchases but it is hard to know "whys" of consumer buying behavior. The answer to "why" the consumer is buying something lies deep inside the consumer mind. Often, the consumers themselves don't know why they are buying certain product. Figure 1 represents a model of consumer buyer behavior which shows that marketing and other environmental stimuli enters consumer's "black box" which further produces certain responses. Marketers have to figure out what is in the black box of consumer.

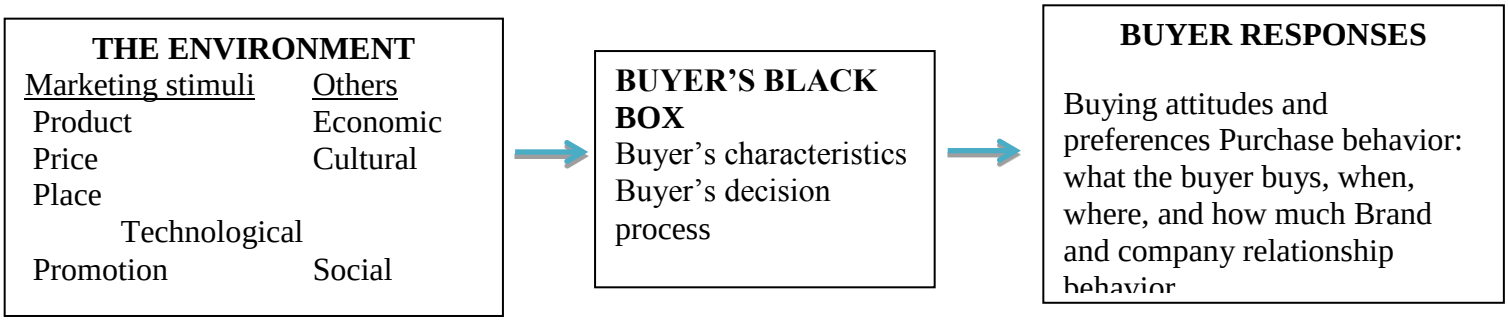


Figure 1: Model of consumer buyer behavior

Marketing stimuli consists of product, price, place and promotion. Other environmental stimuli include economic, technological, social and cultural forces. The aim of marketers is to understand what happens in buyer's black box which changes these stimuli into responses. Buyer's black box

has two parts; buyer's characteristics which deals with how consumer perceives and reacts and other is buyers decision process which affects buyer behavior.

First, we will look at **buyer characteristics which affect buyer behavior** as shown in figure 2. Consumers' buying is significantly affected by cultural, social, psychological and personal factors. These factors are not in the control of marketers.

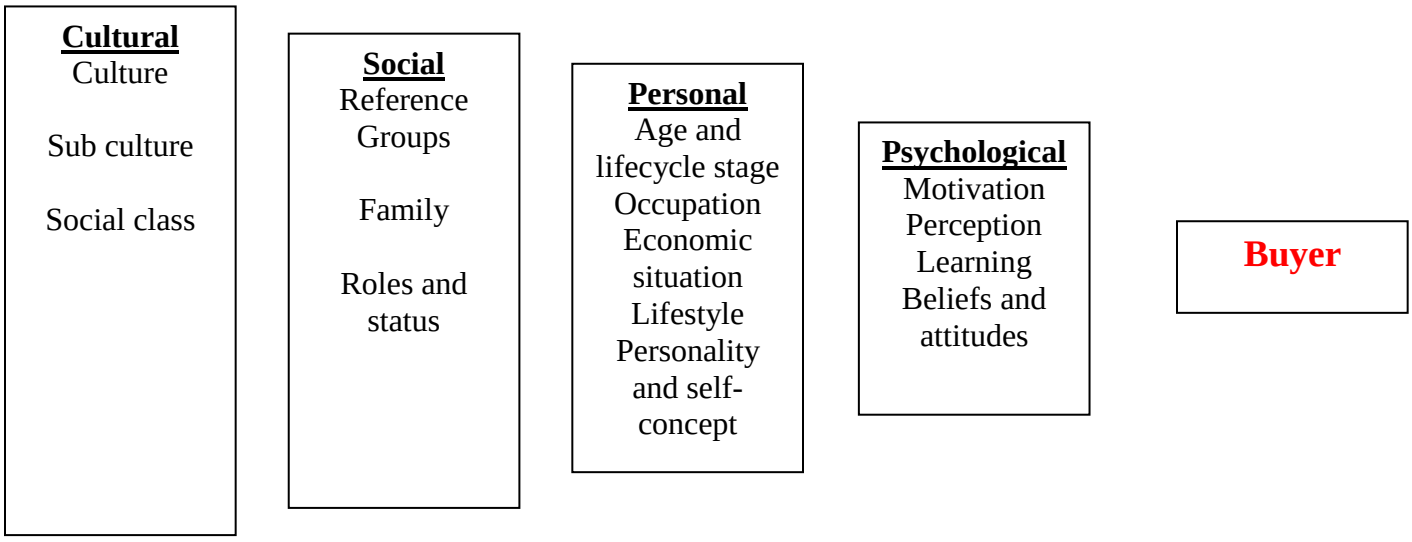


Figure 2: Buyer's characteristics Influencing Consumer Behavior

Cultural factors have a huge influence on consumer behavior. Marketers need to understand the role played by buyer's culture, subculture, and social class. Culture is the most basic cause of a person's wants and behavior. In other words, culture shapes the wants of people. *Culture* is the set of basic values, perceptions, wants, and behaviors learned by a member of society from family and other important institutions. Every culture has its own traits and characteristics. Following are the characteristics of Pakistani culture:

- Orientation/inclination towards religion.
- Hospitality. The guests, visitor, tourists, whether local or international are always welcomed by Pakistani people and they are well taken care of.

- Passionate, expressive and emotional
- Aggressive
- Fun loving and colorful; they enjoy and celebrate each moment and event to the core. Hanging out and family or friends gathering is common in Pakistani culture.
- Hardworking and tough
- Family comes first in Pakistani culture. Pakistani culture is led by collectivism instead of individualism where family and other relationships are always there for each other's support.
- Humble, approachable, helpful and friendly
- Male dominant and conservativeness
- Diversity

Each culture has smaller cultures or groups of people with shared value systems based on common life experiences and situations called *subcultures*. Subcultures are basically cultures within a culture. They include religions, nationalities, regions and ethnic groups etc. These subcultures can make an important market segment and marketer soften design the products based on subcultures.

Example of four major subcultures in Pakistan is as following:

Punjabi culture: main characteristics of Punjabi subculture are hospitality and love for food, poetry and music.
Sindhi culture: main characteristics of Sindhi subculture are love for mystics and Sufism, Sindhi folk songs and music.
KPK Culture: main characteristics of KPK subculture are hospitality, love, care and respect for guests, bravery and protection/respect to females.
Balochi culture: main characteristics of Balochi subculture are arts and crafts, tribes, festivals and storytelling tradition.

Another factor affecting buyer behavior is social class. *Social classes* are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors. Social scientists have identified three major social classes.

Upper Class: the social elite who live on inherited wealth. They also include people who have earned high income or wealth through exceptional ability. This class can further be divided into upper uppers and lower uppers.
Middle Class: this social class comprised of Professionals, independent businesspersons, and corporate managers who possess neither family status nor unusual wealth. They buy popular products to keep up with trends. They also include average-pay white and blue-collar workers. This class can further be divided into upper middles and lower middles.
Lower Class: this social class comprised of working poor. Their living standard is just above poverty. It also includes poorly educated unskilled laborers. This class can further be divided into upper lowers and lower lowers.

These social classes and their further divisions can become a distinct market segment for marketers as each social class share the same attitude, behavior and spending pattern.
Another major factor which Influences consumer behavior is **social factors** such as: groups, family, social networks, and social roles and status.

Different Groups influence the consumer's behavior. *Groups* which the person belongs to, have a direct impact on his/her purchasing behavior; such group is called membership group. On the other hand, people are influenced by reference groups to which they do not belong. They are inspired with that group, compare themselves with them and want to be like them. For example, for a cricket lover, the reference group will be national cricket team. Marketers identify the reference groups of their target markets and try to influence the attitudes of the consumers through creating pressure via reference groups. For example, taking a cricket star in their advertisements to target cricket lovers.

A new type of social interaction has been emerged over the last years, which is *online social networking*. Online social networks are online communities where people meet and socialize or exchange opinions on internet using social networking websites like Facebook, Instagram and Twitter. Marketers are trying to use these recent technological platforms to have one to one communication with customers and become the part of their lives and conversations.

Another important group which can influence a consumer's purchase decision is *Family*. Family structures and buying behaviors have been extensively researched in marketing. Marketers are interested in knowing the roles and influence of husband, children and wife in family decision making as well as the overall buying behavior of family.

A person belongs to different groups at one time; for example, family, organization, sports club, online community. The person's position in each group is characterized by both his *role and status.* A role is defined as the activities people of that group expect you to perform. Each role carries a status based on the general approval given to it by society. For example, a person may be the brand manager in his organization, a father and husband in family, a captain in sports team and opinion leader in online community.

A consumer's decision is also influenced by **personal factors** that are his/her personal traits or characteristics e.g. age, occupation, economic situation, personality, life style and self-concept. People's *occupation* plays a major role in what they buy. For example, business people may buy suits while a person working in factory will buy rough clothing. Marketers identify different occupational groups and see if they can target them according to their product. People change the goods and services over the period of their lifetime. At young age, they use different products and will change them as the get aged. Taste of food, clothing, recreation and furniture changes as the person gets old.

Another factor which plays a major role in consumer's buying pattern is his *economic situation*. People spend on goods and services based on the income they earn. Marketers have to see the trends in personal income, interest rates and savings and reprise or redesign their products to target the specific group accordingly, if needed. People also buy goods and services according to their *life style*. The lifestyle of the people of same subculture group or same social class might be different as it is a person's pattern of living as expressed in his/her psychographics. Lifestyle involves measuring consumers' major AIO dimensions—activities (hobbies, work, shopping, social events, sports), interests (fashion, family, food, recreation), and opinions (about themselves, business, social issues, products). Marketers have to understand that consumers don't buy products, they buy values and lifestyle.

Personality is defined as unique psychological characteristics that distinguish a person or group. It is usually described in terms of personal characteristics such as sociability, honesty, autonomy, self-confidence, aggressiveness and beauty. Personality of a person has a greater impact on his/her product choice. Marketing research suggests that brands also have personalities. Consumers buy the products which suit their personalities or the ones which have the same personality characteristics as the consumer has.

Consumers' buying choices are further influenced by **psychological factors** which include motivation, perception, learning, and beliefs and attitude.

People have many needs at one time; some of these needs are biological such as hunger thirst or comfort while others are psychological such as need for recognition, esteem and love. A need becomes motive when it reaches to a certain level of intensity. When a need is sufficiently pressing to direct the person to seek satisfaction, it is called *motive*. This *motivation* to seek water when you are thirsty or food when you are hungry is what marketers use to persuade consumers to buy their products. There are different theories of motivation; we will discuss here Abraham Maslow's theory of motivation called hierarchy of need theory.

Figure 3 shows the five needs in a pyramid, from the most pressing needs at the bottom to least pressing at the top. The needs include: physiological needs, safety needs, social needs, esteem needs and self-actualization needs. Maslow explained that these needs are sequential. One cannot move to the upper level need unless he/she has satisfied the previous need in the hierarchy. A person first tries to fulfill the basic needs. When these needs are satisfied, they will stop being a motivator and a person will try to satisfy the next important need.

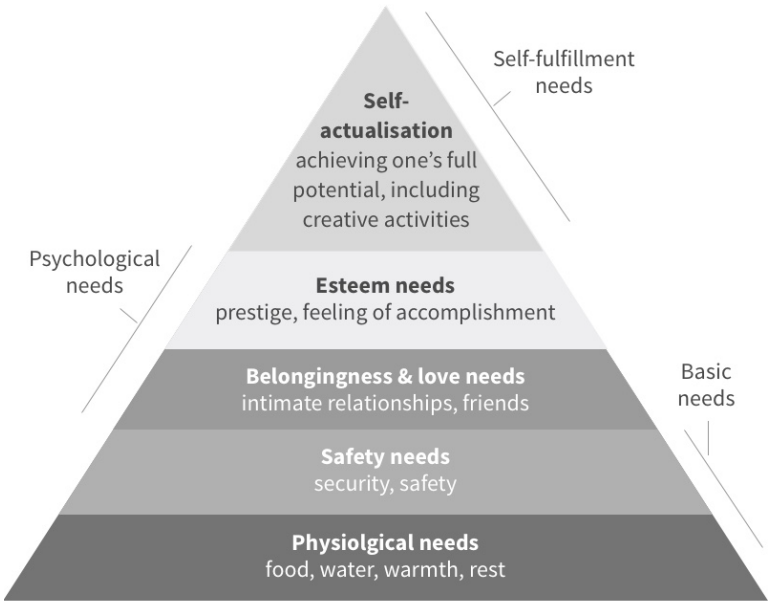


Figure 3: Maslow's hierarchy of need theory

Once a person is motivated, he/she is ready to act. How that person will act, depends upon his/her perception. *Perception* is the process by which people select, organize, and interpret information to form a meaningful picture of the world. It's a glass through which we see the world. People can form different views about the same stimulus because of three perceptual processes: selective attention, selective distortion, and selective retention. Consumers are bombarded with thousands of ads or stimuli every day. It is impossible for them to pay attention to each one of them. The tendency of the consumers to screen out information which they are exposed and not interested in is called *selective attention.* Marketers have to work hard on marketing campaigns to capture the attention of target consumers. Even if the consumers pay attention to a certain stimuli does not mean that the information has been transferred the way it was intended to. Every person fits the incoming information into the existing mindset. The tendency of people to interpret information in a way that will support what they already believe is called *selective distortion.* Consumers do not remember everything they pay attention to. *Selective retention* means that consumers are likely to remember good points made about a brand they favor and forget good points made about competing brands.

When people act, they learn. *Learning* describes changes in an individual's behavior arising from experience. Most of the human behavior is learned. For example, if a person buys Apple computer and his experience is good, he will buy Apple's products again, and his response will be reinforced.

Through perception and learning, consumers acquire beliefs and attitudes which, in turn, influence their purchase behavior. A *belief* is a descriptive thought that a person has about something. Beliefs may be based on opinion, faith or knowledge. These beliefs create brand image of products which is the reason marketers are interested in beliefs that consumers formulate about products. *Attitude* describes a person's relatively consistent evaluations, feelings, and tendencies toward an object or idea. Attitude is what makes consumers like or dislike something.

To summarize, cultural factors, social factors, personal factors, and psychological factors collectively influence the buyer behavior and purchase decision.

The second component which influences buyer's black box is **buyer decision process**. Before discussing buyer decision process, we will see types of buying decision behavior.
Buying behavior of consumers differs for different products. Buying behavior for a toothpaste or shampoo will certainly be different from a car or mobile. Figure 4 shows different **types of buying behavior** based on the degree of differences among brands and degree of buyer's involvement.

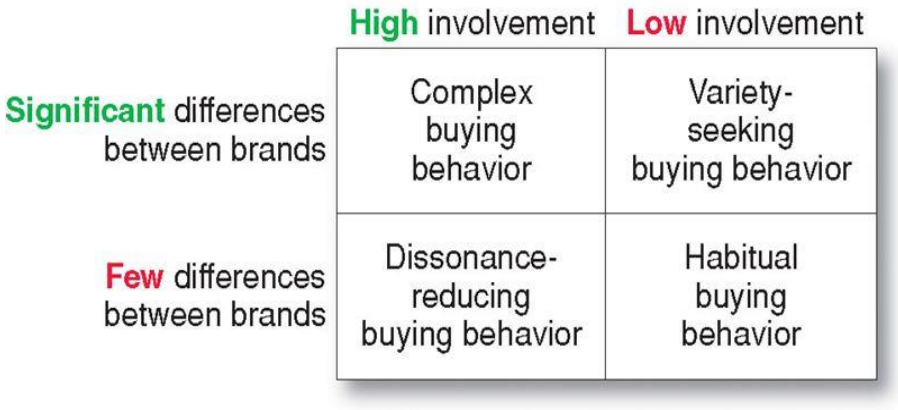


Figure 4: Types of buyer decision behavior

Buyers undertake *complex buying behavior* when they are highly involved in purchase process and there are significant perceived differences among brands. Buyers are highly involved when products are expensive, purchased infrequently and risky. Consumers undertake *dissonance reducing buying behavior* when they are highly involved with an expensive, risky and infrequent purchase but there are few perceived differences among brands. For example, if a person wants to purchase carpet, he will face few differences in carpet brands. In this type of buying, consumers may face post purchase dissonance (after-sale dissatisfaction) which marketers can reduce by after sale support so that consumer feel good about their purchase decision. *Habitual buying behavior* occurs where consumers are less involved and there are few significant brand differences. For example, low cost products like daily grocery items. Buyers undertake *variety seeking buying behavior* when there is low involvement but significant perceived differences among brands. In these cases, consumers go for brand switching. For example, if a consumer purchases biscuits, he/she would like to try different brand every time.

Now we will see how consumers make buying decisions. Figure 5 shows the five stages of buyer decision process.



Figure 5: Buyer decision process

The first stage in buying process is **need recognition** where the buyer recognizes a need/problem. This need can be triggered either by internal stimuli (hunger or thirst) or external stimuli (where consumer thinks of buying a new mobile by watching an advertisement). Second stage is **information search** where consumer's drive is so strong that he/she starts searching for more information about the product. Information can be gathered from several sources such as personal sources (family, friends and colleagues), commercial sources (media, advertisement, and sales people), public sources (mass media, internet search) and experiential sources (examining,

handling and using the product). Marketers need to know about **alternative evaluation** which is related to how consumers evaluate different products to choose the final product to purchase. Consumer uses some personal criteria of evaluating different brands which depends on individual consumer as well as specific buying situation. After evaluation among the alternatives, consumer chooses one product to purchase and make the actual **purchase decision.** The process does not end here; after purchasing the product, consumer may be satisfied or dissatisfied with the product. If the performance of the product is below expectations, consumer will be dissatisfied. On the other hand, if the product performance meets expectations, consumer will be satisfied. Moreover, if the product performance is above expectations, consumer will be delighted.

An important thing to consider here is, in case of new products/innovations, buyer's decision process would be different. A new product is a good, service, or idea that is perceived by some potential customers as new. The mental process, through which an individual passes from first learning about an innovation to final adoption, is called **adoption process.** Consumers go through the following five stages in the process of adopting a new product/innovation.

Awareness: The consumer becomes aware of the new product but have a little information about it.
Interest: The consumer seeks information about the new product.
Evaluation: The consumer considers whether trying the new product makes sense to him/her. Will it benefit him?
Trial: it is very hard for consumers to buy a new product without trying. So the consumer tries the new product on a small scale to improve his or her estimate of its value.
Adoption: The consumer decides to make full and regular use of the new product.

When introducing innovations/new products, marketers have to think on how they can help consumers pass through these stages to make them try the new product.

When introducing new products in the market, marketers should know how much the product characteristics influences its rate of adoption. Some innovations are adopted too quickly like microwave while others take long time to be accepted in market. Following are the **characteristics of products which influence new product's rate of adoption.**

*Relative advantage***:** Consumers will adopt the new product more quickly if they think it is superior to the existing products. For example, when microwave was introduced, there was no such thing in market which could heat food in seconds without using stoves.

Compatibility: Compatibility is the degree to which a product fits the values and experiences of potential consumers. It belongs to the product characteristics that influence the adoption rate because consumers will only slowly start adopting a product if it is not compatible with their mindset.

Complexity: The degree to which a new product is difficult to understand or to use is also one of the product characteristics that influence the adoption rate. For example, when microwave was first introduced in the market, it was adopted very fast because of the ease to use it.

Divisibility: Divisibility refers to the degree to which a product may be tried on a limited basis. Consumer wants to try some expensive product before purchasing it. For example, consumer will not buy the new car without having to test-drive it first. In case of the products which are too expensive, the rate of adoption is slow as there is less opportunity to test it before purchase.

Communicability: Even if all other product characteristics that influence the adoption rate are favorable, communicability can still slow down adoption significantly. Communicability is the degree to which the results of using an innovation can be observed or described to others. Because microwaves lent itself to demonstration and description, its use had spread faster among consumers.